

Tata Consumer Products Ltd.

BUY

Sector: Food Products

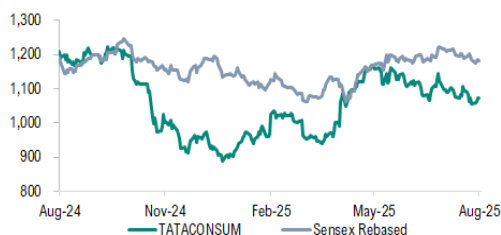
6th August, 2025

Key Changes		Target 	Rating 	Earnings 		Target	Rs. 1,210
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame	CMP	Rs. 1,064
Large Cap	TATACONS:IN	80,710	TATACONSUM	500800	12 Months	Return	+14%

Data as of: 05-Aug-2025, 18:00 hrs

Company Data			
Market Cap (Rs.cr)	1,04,999		
52 Week High — Low (Rs.)	1,235 - 884		
Enterprise Value (Rs. cr)	109,634		
Outstanding Shares (cr)	99.0		
Free Float (%)	64.9		
Dividend Yield (%)	0.8		
6m average volume (lacs)	15.9		
Beta	0.8		
Face value (Rs.)	1.0		
Shareholding (%)	Q3FY25	Q4FY25	Q1FY26
Promoters	33.8	33.8	33.8
FII's	23.2	21.5	22.0
MFs/Institutions	19.5	22.0	22.0
Public	20.5	19.9	19.4
Others	3.0	2.8	2.7
Total	100.0	100.0	100.0
Promoter Pledge	Nil	Nil	Nil
Price Performance	3 Month	6 Month	1 Year
Absolute Return	-8.0%	0.1%	-11.4%
Absolute Sensex	0.4%	4.0%	-1.5%
Relative Return	-8.5%	-3.9%	-9.8%

*over or under performance to benchmark index



Y.E March (Rs.cr)	FY25A	FY26E	FY27E
Sales	17,618	19,644	21,707
Growth (%)	15.9	11.5	10.5
EBITDA	2,479	2,817	3,286
EBITDA Margin (%)	14.1	14.3	15.1
PAT Adjusted	1,284	1,667	2,100
Growth (%)	-13.1	29.9	25.9
Adjusted EPS	13.0	16.9	21.2
Growth (%)	-16.3	29.9	25.9
P/E	82.5	63.5	50.4
P/B	5.3	6.3	6.0
EV/EBITDA	42.9	38.9	32.9
ROE (%)	6.9	10.3	12.0
D/E	0.1	0.1	0.1

Topline Led by Tea and Coffee Sales

Tata Consumer Products, a leading Tata Group company, has a global presence in food and beverages. It is the world's second-largest tea company, with significant presence and leadership in several markets.

- In Q1FY26, the company's consolidated revenue rose 9.8% YoY to Rs. 4,779cr, driven by robust performance of the India business.
- The domestic business grew 11% YoY to Rs. 3,126cr, owing to double-digit growth of the tea business on the back of strong volumes and continued momentum in the salt business. During the quarter, the international business rose 9.40% YoY to Rs. 1,145cr.
- EBITDA fell 9.1% YoY to Rs. 607cr and EBITDA margin contracted 260bps YoY to 12.7%, mainly due to a correction in coffee prices in the non-branded segment.
- Reported profit after tax, though, rose 10.3% YoY to Rs. 346cr due to higher other income (+5.1% YoY) and lower interest expenses (-63.9%) and taxes (-11.0%).
- In Q1FY26, within Indian beverages, tea and coffee posted strong growth. Also, value-added salts and the Tata Sampann portfolio saw continued momentum in the food business segment. In fact, the company launched value-added products across categories and further strengthened its omni-channel capabilities. Tata Starbucks expanded its footprint across metros and smaller cities as well.

Outlook & Valuation

The company posted resilient financial performance in Q1FY26, driven by robust growth of the India business, particularly that of tea and salt. The diversified portfolio, including leading brands such as Tata Tea and Tata Salt, positions the company well for long-term growth. Additionally, its focus on innovation and expansion into new channels, such as e-commerce, modern trade and food services, is expected to drive growth. Further, its strong market share, partnerships, and expansion into new categories, such as pharmacy, further enhance its growth prospects. **Hence, we reiterate our BUY rating on the stock, with a rolled forward target price of Rs. 1,210, based on 57x FY27E adjusted EPS.**

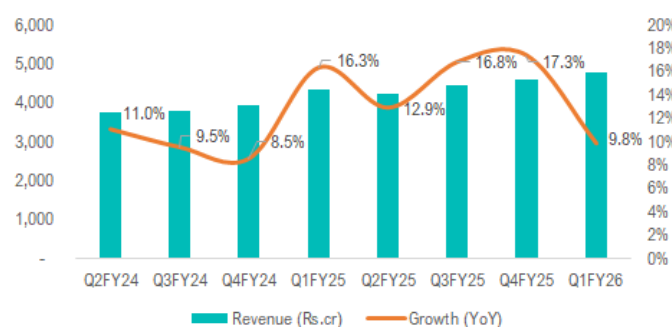
Quarterly Finance Consol.

Rs.cr	Q1FY26	Q1FY25	YoY Growth (%)	Q4FY25	QoQ Growth (%)
Sales	4,779	4,352	9.8	4,608	3.7
EBITDA	607	667	-9.1	621	-2.3
Margin (%)	12.7	15.3	-260bps	13.5	-80bps
EBIT	458	519	-11.8	468	-2.1
PBT	465	448	3.9	530	-12.1
Rep. PAT	346	314	10.3	407	-14.9
Adj PAT	334	307	8.7	300	11.6
Adj. EPS (Rs)	3.4	3.2	4.7	3.0	11.6

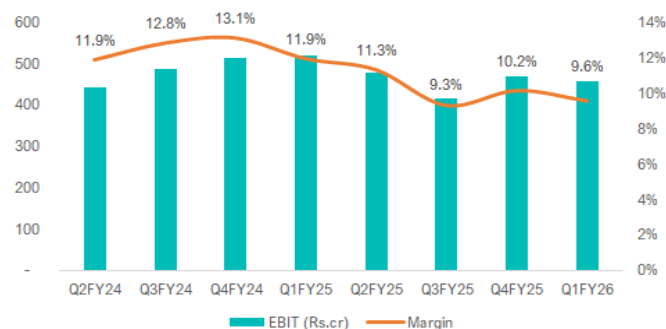
Key concall highlights

- The company's branded business achieved double-digit growth YoY, driven by strong performance of the core businesses of tea and salt, which posted value as well as volume growth. The growth business, though, grew a slower rate of 7%, owing to unfavourable weather conditions impacting the ready-to-drink business. The foods segment delivered a 6% volume growth and 14% revenue growth, with notable performances from salt (13% growth) and value-added salts (31% growth).
- The US operations delivered a strong performance as well, with coffee sales growing 20% YoY, thereby achieving a market share of 4%. However, the Canadian business slowed down due to changes in the promotional timing by major retailer Costco. This is, however, likely a temporary setback.
- The Sampann brand demonstrated a notable 27% YoY growth, driven in part by the successful introduction of new products such as dry fruits and cold-pressed oils.
- The company's overall market share remains strong, with ~20% share in the India branded space and double-digit shares in the fruit and herbal markets.
- The company launched green tea with L-carnitine, which aids in fat burning. And Organic India has partnered with Sachin Tendulkar to boost brand credibility.
- E-commerce grew 61% YoY and modern trade, 21%, with food services also gaining traction.
- The pharmacy business has expanded to 40 cities, with successful activations in large accounts and premium hotel chains.

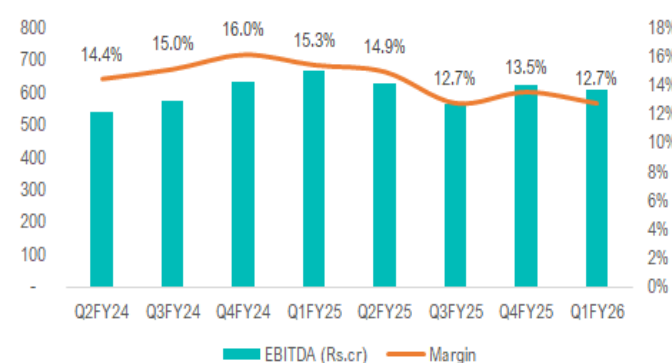
Revenue



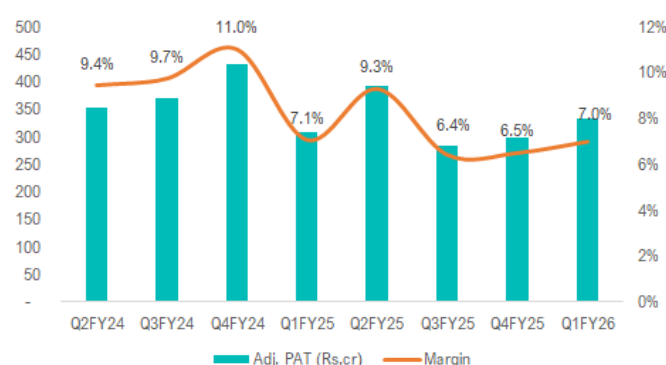
EBIT



EBITDA



PAT



Change in Estimates

Year / Rs cr	Old estimates		New estimates		Change (%)	
	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Revenue	19,667	21,732	19,644	21,707	-0.1	-0.1
EBITDA	2,936	3,360	2,817	3,286	-4.1	-2.2
Margins (%)	14.9	15.5	14.3	15.1	-60bps	-40bps
Adj. PAT	1,759	2,155	1,667	2,100	-5.2	-2.5
EPS	17.8	21.8	16.9	21.2	-5.2	-2.5



Consolidated Financials

Profit & Loss

Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Sales	13,783	15,206	17,618	19,644	21,707
% change	10.9	10.3	15.9	11.5	10.5
EBITDA	1,856	2,284	2,479	2,817	3,286
% change	8.0	23.0	8.5	13.6	16.6
Depreciation	304	377	601	617	604
EBIT	1,552	1,907	1,879	2,200	2,682
Interest	87	130	290	270	259
Other Income	328	-81	188	358	411
PBT	1,794	1,696	1,777	2,288	2,834
% change	23.2	-5.5	4.8	28.8	23.9
Tax	447	395	396	572	708
Tax Rate (%)	24.9	23.3	22.3	25.0	25.0
Reported PAT	1,347	1,301	1,380	1,716	2,125
PAT att. to common shareholders	1,204	1,150	1,278	1,667	2,100
Adj.*	-159	327	5	-	-
Adj. PAT	1,044	1,477	1,284	1,667	2,100
% change	5.7	41.5	-13.1	29.9	25.9
No. of shares (cr)	92.9	95.3	98.9	98.9	98.9
Adj EPS (Rs.)	11.2	15.5	13.0	16.9	21.2
% change	4.9	37.9	-16.3	29.9	25.9
DPS (Rs.)	8.5	7.8	8.3	8.4	9.3

Cashflow

Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Net inc. + Depn.	1,651	1,678	1,981	2,333	2,729
Non-cash adj.	-164	247	71	-253	778
Other adjustments	-	-	-	-	-
Changes in W.C	-25	11	5	5	-11
C.F. Operation	1,461	1,937	2,057	2,084	3,496
Capital exp.	-140	-310	-414	-491	-564
Change in inv.	-724	-3,180	-1,963	-37	-40
Other invest.CF	37	1,560	23	-	-
C.F - Investment	-828	-1,931	-2,354	-528	-605
Issue of equity	-	-	-	-	-
Issue/repay debt	-4	1,254	-1,451	-50	-49
Dividends paid	-573	-809	-741	-1,000	-1,109
Other finance.CF	-137	-190	2,645	-70	-59
C.F - Finance	-714	256	453	-1,120	-1,217
Chg. in cash	-81	261	156	436	1,674
Closing Cash	2,797	2,454	2,818	3,254	4,928

Balance Sheet

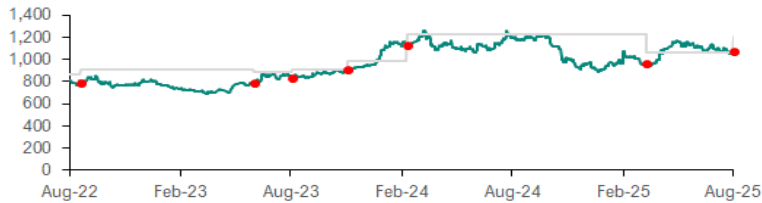
Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Cash	2,797	2,454	2,818	3,254	4,928
Accts. Receivable	798	897	870	951	1,038
Inventories	2,702	2,769	3,600	3,956	4,330
Other Cur. Assets	2,012	1,306	1,682	2,624	2,822
Investments	893	847	890	930	974
Gross Fixed As-sets	3,285	3,595	4,009	4,500	5,065
Net Fixed Assets	1,605	1,977	2,066	1,960	1,939
CWIP	286	171	207	186	168
Intangible Assets	10,875	16,678	18,700	18,887	19,076
Def. Tax -Net	49	142	147	160	177
Other Assets	795	779	998	437	394
Total Assets	22,811	28,021	31,978	33,345	35,846
Current Liabilities	2,948	3,406	4,183	4,625	5,082
Provisions	167	245	232	238	244
Debt Funds	1,183	2,954	1,849	1,799	1,750
Other Liabilities	1,386	3,980	4,323	4,768	5,553
Equity Capital	93	95	99	99	99
Res. & Surplus	16,184	15,962	19,902	16,622	17,607
Shareholder Funds	16,277	16,057	20,001	16,721	17,706
Minority Interest	850	1,379	1,389	5,194	5,512
Total Liabilities	22,811	28,021	31,978	33,345	35,846
BVPS	175	169	202	169	179

Ratios

Y.E March	FY23A	FY24A	FY25A	FY26E	FY27E
Profitab. & Return					
EBITDA margin (%)	13.5	15.0	14.1	14.3	15.1
EBIT margin (%)	11.3	12.5	10.7	11.2	12.4
Net profit mgn.(%)	8.7	7.6	7.3	8.5	9.7
ROE (%)	8.3	8.1	6.9	10.3	12.0
ROCE (%)	8.5	9.4	8.1	9.3	10.7
W.C & Liquidity					
Receivables (days)	21.2	21.6	18.1	17.7	17.5
Inventory (days)	123.5	118.4	130.9	128.3	126.6
Payables (days)	107.4	115.7	127.5	128.1	128.7
Current ratio (x)	2.1	1.2	1.5	1.7	1.9
Quick ratio (x)	1.1	0.6	0.7	0.7	0.9
Turnover & Leverage					
Gross asset T.O (x)	4.3	4.4	4.6	4.6	4.5
Total asset T.O (x)	0.6	0.6	0.6	0.6	0.6
Int. covge. ratio (x)	17.8	14.7	6.5	8.2	10.3
Adj. debt/equity (x)	0.1	0.2	0.1	0.1	0.1
Valuation					
EV/Sales (x)	4.7	7.0	6.0	5.6	5.0
EV/EBITDA (x)	35.1	46.5	42.9	38.9	32.9
P/E (x)	63.2	70.6	82.5	63.5	50.4
P/BV (x)	4.1	6.5	5.3	6.3	6.0



Recommendation Summary - last 3 years



Dates	Rating	Target
07-Feb-22	BUY	862
19-Aug-22	BUY	907
01-Jun-23	BUY	890
03-Aug-23	HOLD	908
03-Nov-23	HOLD	980
09-Feb-24	HOLD	1,222
11-Mar-25	BUY	1,067
06-Aug-25	BUY	1,210

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

Symbols definition:  Upgrade

 No Change

 Downgrade

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

The recommendations are based on 12 month horizon, unless otherwise specified. The investment ratings are on absolute positive/negative return basis. It is possible that due to volatile price fluctuation in the near to medium term, there could be a temporary mismatch to rating. For reasons of valuations/ return/lack of clarity/event we may revisit rating at appropriate time. Please note that the stock always carries the risk of being upgraded to BUY or downgraded to a HOLD, REDUCE or SELL.

Not rated/Neutral- The analyst has no investment opinion on the stock under review.

DISCLAIMER & DISCLOSURES

Certification: I, Vincent K A, author of this Report, hereby certify that all the views expressed in this research report reflect our personal views about any or all of the subject issuer or securities. This report has been prepared by the Research Team of Geojit Investments Limited, hereinafter referred to as GIL.

For general disclosures and disclaimer: Please [Click here](#)

CRISIL has provided research support in preparation of this research report and the investment rational contained herein along with financial forecast. The target price and recommendation provided in the report are strictly GIL's views and are NOT PROVIDED by CRISIL. Further, CRISIL expresses no opinion on valuation and the associated recommendations. CRISIL has no financial liability whatsoever, to the subscribers / users of this report.

Regulatory Disclosures:

Group companies/ Fellow subsidiaries of Geojit Investments Ltd (GIL) are Geojit Financial Services Limited (GFSL), Geojit Technologies Private Limited (Software Solutions provider), Geojit Credits Private Limited (NBFC), Geojit Fintech Private Ltd, Geojit IFSC Ltd (a company incorporated under IFSC Regulations), Qurum Business Group Geojit Securities LLC (a subsidiary of holding company in Oman engaged in Financial Services), Barjeel Geojit Financial Services LLC (a joint venture of holding company in UAE engaged in Financial Services), and BBK Geojit Consultancy and Information KSC (C) (a joint venture in Kuwait-engaged in Financial services). In the context of the SEBI Regulations on Research Analysts (2014), GIL affirms that we are a SEBI registered Research Entity and in the course of our business as a stock market intermediary, we issue research reports /research analysis etc. that are prepared by our Research Analysts. We also affirm and undertake that no disciplinary action has been taken against us or our Analysts in connection with our business activities.

In compliance with the above-mentioned SEBI Regulations, the following additional disclosures are also provided which may be considered by the reader before making an investment decision:

1. Disclosures regarding Ownership:

GIL confirms that:

- (i)It/its associates have no financial interest or any other material conflict in relation to the subject company (ies) covered herein, at the time of publication of the research report.
- (ii)It/its associates have no actual beneficial ownership of 1% or more in relation to the subject company (ies) covered herein, at the end of the month immediately preceding the date of publication of the research report.

Further, the Analyst confirms that:

- (i) He, his associates and his relatives shall take reasonable care to ensure that they do not have any financial interest in the subject company (ies) covered herein, and they have no other material conflict in the subject company, at the time of publication of the research report.
- (ii) He, his associates and his relatives have no actual/beneficial ownership of 1% or more in the subject company covered, at the end of the month immediately preceding the date of publication of the research report.

2. Disclosures regarding Compensation:

During the past 12 months, GIL or its Associates:

- (a) Have not received any compensation from the subject company; (b) Have not managed or co-managed public offering of securities for the subject company (c) Have not received any compensation for investment banking or merchant banking or brokerage services from the subject company. (d) Have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company. e) Have not received any compensation or other benefits from the subject company or third party in connection with the research report (f) The subject company is / was not a client during twelve months preceding the date of distribution of the research report.

3. Disclosure by GIL regarding the compensation paid to its Research Analyst:

GIL hereby confirms that no part of the compensation paid to the persons employed by it as Research Analysts is based on any specific brokerage services or transactions pertaining to trading in securities of companies contained in the Research Reports.

4. Disclosure regarding the Research Analyst's connection with the subject company: It is affirmed that I, Vincent K A, Research Analyst (s) of GIL have not served as an officer, director or employee of the subject company.

5. Disclosure regarding Market Making activity: Neither GIL/its Analysts have engaged in market making activities for the subject company.

6. Disclosure regarding conflict of interests: GIL shall abide by the applicable regulations/ circulars/ directions specified by SEBI and Research Analyst Administration and Supervisory Body (RAASB) from time to time in relation to disclosure and mitigation of any actual or potential conflict of interest. GIL will endeavour to promptly inform the client of any conflict of interest that may affect the services being rendered to the client.

7. "Registration granted by SEBI, membership of BASL (in case of IAs) and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors."

8. Clients are required to keep contact details, including email id and mobile number/s updated with the GIL at all times.

9. In the course of providing research services by GIL, GIL cannot execute/carry out any trade (purchase/sell transaction) on behalf of, the client. Thus, the clients are advised not to permit GIL to execute any trade on their behalf.

10. GIL will never ask for the client's login credentials and OTPs for the client's Trading Account Demat Account and Bank Account. The Clients are advised not to share such information with anyone including GIL.

11. Standard Warning: "Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

12. Disclosures regarding Artificial Intelligence tools: Neither Geojit Investments Limited nor its Analysts have utilized any AI tools in the preparation of the research reports.

Please ensure that you have read the "Risk Disclosure Documents for Capital Market and Derivatives Segments" as prescribed by the Securities and Exchange Board of India before investing.

Geojit Investments Ltd. Registered Office: 7th Floor 34/659-P, Civil Line Road, Padivattom, Kochi-682024, Kerala, India. Phone: +91 484-2901000, Website : www.geojit.com/GIL . For investor queries: customercare@geojit.com

GRIEVANCES

Step 1: The client should first contact the RA using the details on its website or following

contact details: Compliance officer: Ms. Indu K. Address: 7th Floor, 34/659-P, Civil Line Road, Padivattom, Ernakulam,; Phone: +91 484-2901367; Email: compliance@geojit.com. **For Grievances:**grievances@geojit.com. **Step 2:** If the resolution is unsatisfactory, the client can also lodge grievances through SEBI's SCORES platform at www.scores.sebi.gov.in **Step 3:** The client may also consider the Online Dispute Resolution (ODR) through the Smart ODR portal at <https://smartodr.in>

Corporate Identity Number: U66110KL2023PLC080586, Research Entity SEBI Reg No: INH000019567; Depository Participant : IN-DP-781-2024.

VINCENT K A Digitally signed by VINCENT K A
 Date: 2025.08.06 10:41:28 +05'30'

